



**One Dorset
Procurement Service**

One Dorset Procurement Service

**Interim SFI Changes-
Buying Goods and
Services - What You
Need to Know**

Why are things are changing?

Following the establishment of the One Dorset Procurement Service (ODPS), procurement processes and financial thresholds for quotations and competition will be aligned across the 3 participating Trusts from the ODPS go-live date in September 2026. These changes are designed to:

1. *Make buying goods and services simpler and more consistent across Dorset*
2. *Ensure public money is spent well and provides value for money*
3. *Reduce unnecessary administration for low-value purchases*
4. *Provide Procurement support where it adds the most value*
5. *Ensure compliance with procurement legislation and Trusts governance requirements*

Leading up to go-live there is a soft launch consisting of two phases:

- **Phase 1** - DCH/DHC/UHD transition to the new SFI thresholds **with immediate effect**
- **Phase 2** - Transition to broader ODPS processes. Further details will be communicated leading up to ODPS go-live.

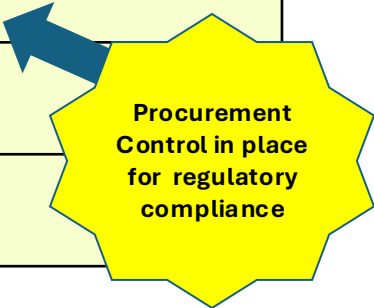
ODPS operates a partnership approach and is available throughout the buying process to provide guidance, market insight and assurance where needed. Requesters should ensure procurement are engaged and informed of all planned activity, as well as any likely requirements as they emerge. This approach supports a strategically aligned procurement function who are well placed to optimise outcomes.

Understanding the New Thresholds

To support a consistent approach across the Partner Trusts, new purchasing thresholds have been introduced to determine the level of competition, governance and procurement support required for different values of purchases. The thresholds are designed to ensure that the process remains proportionate to the value and complexity of the requirement by keeping lower-value purchases simple and efficient, whilst providing greater oversight and specialist support for higher-value or more complex procurements.

- Please note that **the Trust's Scheme of Delegation is not affected** by this change and therefore authorisation/signatory within Trusts remains as-is.
- The **expectations on procurement support provided** throughout this interim transition period is outlined below:

Total Contract Value (ex VAT) See guidance here	Quotes Required	PHASE 1 ODPS role during transition	PHASE 2 ODPS role post go-live
£10,000 or less	Minimum 1	We are here • Current support and processes remain in place. <i>NOTE- The ODPS "Requester checklist" issued alongside these stakeholder comms is intended to support awareness of the future model as well as providing guidance on good practice.</i>	Optional support
Greater than £10,000 and up to £25,000	Minimum 1		Oversight and assurance
Greater than £25,000 and up to £50,000	Minimum 2		Procurement-led
Greater than £50,000 and up to Threshold	Minimum 3 or compliant procurement process		Procurement-led
Above Threshold	Formal procurement		Procurement-led



N.B. The thresholds and quotation requirements in this table apply to the procurement of goods, works and non-healthcare services only. **Procurement of healthcare services is governed by the Provider Selection Regime (PSR) 2023 and has no lower financial threshold.** Procurement advice should be sought for all healthcare service procurements regardless of value.

Establishing Thresholds- *Understanding "Total Contract Value"*

Estimating Contract Values

- The estimated contract or purchase value must reflect the total expected cost over the full life of the requirement, including any extension periods and VAT where applicable.
- For example, a contract worth £50,000 per year for 3 years, with two optional 1-year extensions, would have a total estimated value of £250,000.
- When calculating the total value, consider all associated costs, including:
 - Goods, services or works being purchased.
 - Associated accessories or equipment.
 - Maintenance, support, licensing or service costs.
 - Training requirements.
 - Delivery and other ancillary charges.
 - Disposal costs where applicable.
 - Expected consumption of consumable items over the contract term.
 - Any costs already incurred through non-compliant or retrospective activity.

Aggregation of Spend

Recurring or related purchases must be considered together when estimating contract value. The expected total spend over the contract period, or annual spend as a minimum, should be used to determine the appropriate procurement route.

Requirements must not be artificially split to avoid procurement thresholds, competition requirements or governance processes.

Additional Spend Under Existing Contracts

Where additional spend is required under an existing contract, it must be managed transparently and approved in line with local governance and delegated financial authority.

If the additional requirement represents a significant change to the original contract scope, a formal contract variation may be required. All additional spend must be documented and justified for audit and compliance purposes.

ODPS will monitor cumulative contract spend to ensure procurement thresholds are not inadvertently exceeded.

Where Contract Value Cannot Be Estimated

If it is not possible to reliably estimate the total contract value, the requirement should be treated as exceeding the relevant procurement threshold and procurement advice should be sought at the earliest opportunity.

Which Procurement Route Applies? (1)



Up to £10,000

- **What do I need?**

- At least one quotation
- Budget holder approval of Requisition to ensure a Purchase Order can be issued to an approved supplier.
- Technical approval / assurance dependent on the requirement (*e.g. Clinical requirements require all safety governance processes to be adhered to*)

- **Typical examples**

- Clinical consumables
- Minor equipment
- Small service requirements



>£10,000 - £25,000

- **What do I need?**

- At least one quotation, with robust consideration to all commercial requirements set out within the ODPS "Requester checklist". (*NOTE- Procurement will monitor and manage effective practice, and reserve the right to obtain additional quotes where appropriate*)

- Budget holder approval of Requisition to ensure a Purchase Order can be issued to an approved supplier.

Technical approval / assurance dependent on the requirement (*e.g. Clinical requirements require all safety governance processes to be adhered to*)

Procurement involvement:

As-Is; Procurement may review the approach and require additional quotations, competition and / or compliance steps where appropriate.

Please refer to the **Requester Checklist** for more guidance when purchasing goods or services ≤£25,000

- As the requester, you remain responsible for identifying the need, obtaining the appropriate budget and technical (if required) approvals.
- Procurement operates as a partner, providing guidance, challenge and support to help achieve compliant and value-for-money outcomes.
- For planned activity engage directly with the relevant Category Lead. For ad-hoc activity, engage via the Operations Team for triage and allocation.

Which Procurement Route Applies? (2)



>£25,000 - £50,000

- **Who leads?** Procurement
- **What do I need?**
 - Minimum 2 quotes
 - Effective engagement with Procurement as requirements emerge
- **Procurement involvement:**
Procurement will run the sourcing activity to ensure value for money and appropriate route to market.



>£50,000 – Procurement Threshold

- **Who leads?** Procurement
- **What do I need?**
 - Minimum 3 quotes, or compliant procurement process
 - Effective engagement with Procurement as requirements emerge
- **Procurement involvement:**
Formal sourcing process e.g. RFQ/tender managed by Procurement.



Above Procurement Threshold

- **Who leads?** Procurement
- **What do I need?**
 - Compliant procurement process
 - Effective engagement with Procurement as requirements emerge
- **Procurement involvement:** Fully regulated tender complying with UK procurement legislation and Trust governance requirements

- Procurement and the requester work in partnership to deliver the best outcome. The requester remains responsible for defining the business need, securing funding and approvals, providing subject matter expertise and participating in the evaluation of suppliers.
- Procurement takes the lead on the sourcing process, ensuring that the appropriate level of competition, governance, transparency and compliance is applied in line with organisational policies and procurement regulations.
- For planned activity engage directly with the relevant Category Lead. For ad-hoc activity, engage via the Operations Team for triage and allocation.

Questions & Answers (1)

? FAQs

- **Do I need to involve Procurement for every purchase?**

For lower-value purchases (<£25,000) we will be transitioning to a requester-led process in latter phases of the ODPS transformation. However, at this stage, wider processes associated with these changes to thresholds remain as-is. Procurement is available at any stage to provide advice, guidance and assurance if you need support.

- **Are broader compliance requirements affected by this change?**

No, all current compliance requirements and processes remain unchanged at this stage.

? FAQs

- **When should I contact Procurement?**

You should contact Procurement if you are unsure whether an existing contract exists, your requirement is complex, or you need advice on suppliers, contracts or sourcing options.

- **Can I treat respective purchases as separate requirements?**

No. Recurring or related purchases must be considered as aggregated requirement based on the expected total value over the contract term. Purchases must not be split to avoid procurement thresholds or competition requirements.

Questions & Answers (2)

Guidance Shared with ODPS Stakeholders

FAQs

- **What if I'm unsure how much my requirement is worth?**

Contact Procurement for advice. It is important to consider the total lifetime value of the requirement, including any extensions, maintenance, support or ongoing costs.

- **What if I only need a small, low-value purchase?**

In most instances catalogue items will exist within your local e-procurement platforms. Where a requirement is new, or where there is a request to engage with a new supplier, please contact your procurement team.

- **What is the benefit of engaging Procurement early?**

Early engagement can help identify existing contracts, avoid duplication of effort, ensure the right sourcing approach is followed and reduce the risk of delays later in the process.

Contact Us

- **The Operational Buying Team can be contacted via**

- DCH based team- supplies@dchft.nhs.uk
(dch.supplies@nhs.net from 27/07/26)
- DHC based team- dhc.trust.purchasing@nhs.net
- UHD based team- uhd.procurement@nhs.net

- **Category Contacts**

- **Surgical:** [Hayley Kelly](#)
- **Medical & Clinical Services:** [Georgina Mountney](#)
- **Purchased Healthcare:** [Anneliese Harrison](#)
- **Estates & Hard FM:** [Alex Dean](#)
- **Soft FM, Utilities & Community Commissioning:** [Rebecca Moore](#)
- **Corporate & Professional Services:** [Simon Adams](#)
- **Digital:** [Craig Miles](#)

Requester Checklist

(Supplementary Guidance)

? What is this?

This checklist is designed to support requesters in planning and managing low-value purchases in a simple and compliant way. Following the ODPS go-live requesters will have increased autonomy in purchasing goods or services with a value of less than £25,000 excluding VAT. The ODPS partnership approach will be available throughout the process to provide guidance, market insight and assurance where needed.

This guidance is being shared within Phase 1 to ensure requesters become familiar with best practice in advance of this change.

These checkpoints are guidance, and requesters will be encouraged to engage Procurement early for support. Procurement support is always available at any stage irrespective of the value and oversight of all outbound orders will remain in place:

- *If you're unsure how to define your requirement or identify existing routes, Procurement can assist.*
- *Procurement can provide advice on supplier selection, appropriate routes to market, and documentation where needed.*
- *Procurement can support reviewing quotes where decisions are complex or where value for money is unclear.*
- *Procurement can help determine the appropriate contracting approach and ensure terms are compliant.*
- *Once complete, Procurement will support the creation of the requisition and purchase order to finalise the process*

These checks are to guide your thinking, not to restrict progress. ODPS is available to help ensure the best outcome and reduce risk.

✓ <u>1. Before You Request Quotes</u> Requirement is clearly defined, including: ▪ A clear description of goods or services. ▪ Quantity, location, and delivery timescales. ✓ Availability has been confirmed Existing contracts, catalogues and frameworks have been checked. ▪ An existing route is used where available. ✓ Approvals are in place Budget holder approval has been obtained. ▪ Any required technical approvals are in place (e.g. IT, clinical, estates, medical devices). ✓ Budget is confirmed Funding is available for the full requirement and approved by the relevant budget holder. ▪ Evidence of funding approval is retained (e.g. email confirmation). ✓ Total value has been assessed Total lifetime value has been calculated, including: - the full contract duration and any extensions; - delivery, installation and commissioning costs where applicable; - licences, maintenance, support and other ongoing costs; - exit and offboarding costs where applicable. ▪ Total value is below £25,000 (ex VAT). ✓ Compliance has been confirmed The requirement is not repeat spend or part of a larger requirements that should be combined. ▪ No conflicts of interest exist. ▪ No personal or professional relationships exist with the proposed supplier(s). ▪ Any associated governance/ policy has been followed (e.g. Data Impact Assessment's and Medical Device Assurance) 2. Obtaining Quotes from Suppliers ✓ Suitable suppliers have been identified Supplier selection has been undertaken on a fair basis. ▪ A range of suitable suppliers has been considered where possible. ▪ Supplier selection is not routinely limited to the same providers. ✓ The decision has been recorded A clear record of the evaluation and award decision is maintained. ▪ The rationale for selecting the successful supplier is documented. ✓ Consistent information has been issued All suppliers have received the same specification and requirements ▪ Timelines and expectations are consistent across all suppliers.	✓ Full pricing has been requested Pricing includes VAT (where applicable) ▪ Pricing includes delivery, installation and commissioning costs where applicable. ▪ Pricing includes any ongoing costs, such as licences, maintenance or support. ✓ A clear deadline has been set Timescales are proportionate to the complexity of the requirement. ▪ Suppliers have been provided with sufficient time to respond (typically a minimum of 3–5 working days for simple requirements) ✓ Communications are recorded Quotes are issued via email or standard templates. ▪ Supplier communications are retained. 3. Reviewing Quotes ✓ Value for money has been assessed Quality has been considered alongside price. ▪ Whole-life cost has been considered where relevant, including maintenance, licences, support, and exit/offboarding costs. ✓ Contract risks have been considered Key risks have been considered, including: - contract length and value; - dependency on a single supplier; - data protection and information security implications; - exit arrangements and business continuity; - Automatic renewal provisions and ongoing commitments. ▪ Procurement advice has been sought where risks are complex, high or unclear. 4. Terms and Conditions ✓ The contractual approach has been considered Appropriate terms and conditions have been identified for the requirement. ▪ For simple, low-risk purchases, a purchase order referencing approved organisational terms and conditions may be sufficient. ▪ A formal contract is considered where the requirement is higher risk, more complex or longer term. ✓ Supplier terms have not been accepted without approval Approved organisational terms and conditions have been used unless an alternative position has been formally approved. ▪ Procurement advice has been sought before accepting supplier terms and conditions
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